



How to Navigate the Cycle's Low

- SLC hosted its 2025 Farm Day yesterday to discuss its long-term growth strategy.
- Irrigated area should reach 19k ha in the 2025/26 crop and 53k ha in the long-term, from 16k ha in the current crop. Gains from the increase in productivity could reach R\$6k/ha to R\$7k/ha.
- SLC also aims to grow in the seed market, in which sales to external clients already accounts for ~58% of the BU's total sales. The plan is to advance in TSI technology in order to gain share of wallet, while also expanding to new cultures beyond soybean and cotton seeds.
- Operational efficiency initiatives that SLC is adopting to improve its cost structure include expanding in regenerative agriculture, which reduces the use of agricultural inputs, and developing an in-house telemetry technology to reduce costs by up to 50%.
- We maintain our Neutral rating on SLC.

Disciplined capital allocation and top-class execution to navigate a bearish environment for commodities. SLC held its 2025 Farm Day at its Pamplona farm (Goiás state) to discuss the outlook for commodities and also provide a live demonstration of all the initiatives the company has undertaken to optimize its operation. Since its IPO back in 2007, SLC has delivered a planted area CAGR of 10.9%, and despite passing through a capex-intensive phase from 2007-2016, which also impacted margins, the company was able to expand the ROE of its farming operations (excluding land valuation) from 3.1% in the 2007-2016 period, to an average of 9% in the last five years. Looking ahead, the company expects returns at high levels of 15%-20%, with its farming operation becoming more relevant in comparison to land appreciation. That should help SLC to maintain its dividend yield at least in line with historical levels at ~4%, while navigating the low of the cycle.

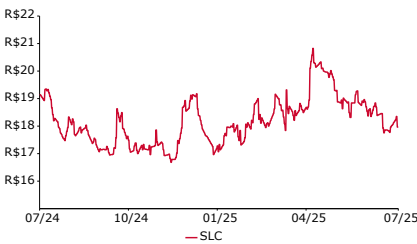
Commodity prices should remain under pressure for longer. Management does not seem particularly bullish on overall commodity prices, pointing out that any geopolitical volatility, such as the trade war, is negative for cotton demand, while a more stable macro environment usually facilitates grain trade. In addition, input costs, specifically for fertilizers, have increased recently, and thus, the outlook for the next crop is for pressured margins in the sector as a whole, although SLC is pretty advanced in input purchases for 2025/26. In that sense, management commented that this could create growth opportunities, although the company is much more selective now.

Irrigation should be a key driver of long-term growth. SLC currently has 16k ha of irrigated area and aims to reach 19k ha in the 2025/26 crop and 53k ha in the long run. The main benefit of increasing irrigated area is that it boosts productivity by mitigating climate events and ensuring production stability, while simultaneously allowing for area expansion and adding value to the land portfolio. As a reference, cotton productivity at the same farm can reach 360 @/ha in an irrigated area, vs. 120 @/ha in a non-irrigated area. By global comparison, Australia and China are the only countries that feature higher cotton yields than Brazil, but for these two nations, irrigation accounts for almost 90% of their cotton planted area, vs. only 9% in the case of Brazil. Ultimately, better productivity should translate into R\$6k to R\$7k per ha of additional gains due to the irrigation.

SLC is advancing in the seed market. What started as a way to fulfill internal demand is now another growth opportunity for SLC, with external clients already representing 58% of its total seed sales. With over 47 soybean seed varieties accounting for 85% of demand in Brazil's Center-West region and 19 cotton seed cultivars that meet full demand, SLC has already reached over 1,000 clients and seeks not only to expand its client base, but also gain wallet share. In order to do that, the company should continue advancing in TSI and investing in commercial capabilities. For 2025, the plan is to launch forage seeds, and long-term goals include expanding to new territories and continuing to broaden its seed portfolio. Moreover, SLC sees the adoption of new seed biotechnologies jumping from the current 30% penetration to 70% in the next 3-4 years.

Technology is a powerful tool to improve efficiency. If the current commodity cycle is not the most favorable, SLC is doing its homework in terms of operational efficiency to sustain

Ticker: SLCE3 BZ
Rating: NEUTRAL
Target: 22.00 (BRL)
Upside: 22%



Market Data		
Last Price (BRL)	18.0	
Price Range - 52 wk	16.7 - 20.8	
3-month ADTV (mn)	45.1	
Market Cap (mn)	7,919	
Shares Outstanding (mn)	440	
Valuation		
P/E	10.5	8.2
EV/EBITDA	7.8	6.9

Financials (BRL, mn)	25E	26E
Revenue	7,912	8,443
EBITDA	2,631	2,950
EBITDA margin	33.3%	34.9%
Net income	755	966

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its benchmark level in the Brazilian Agribusiness sector. Initiatives range from the expansion of regenerative agriculture, which has proven to reduce inputs use, to the development of a proprietary telemetry technology that costs 40%-50% less than third-party solutions, and the implementation of a robot solution to monitor crops and allow a more localized and effective use of inputs.

Keeping our Neutral rating, despite positive guidance revision. SLC also released its updated guidance for the 2024/25 crop season, increasing its estimate for cotton 2nd crop productivity by 9.6% vs. its previous forecast from May, while also raising its estimate for corn 2nd crop productivity by 7.8%. This came on the back of extremely favorable weather conditions that boosted crop in Brazil's Center-West region. Regarding the NAV of its land portfolio, the recently published appraisal points to a 2.4% YoY increase in SLC's arable hectares, well below the 8.8% growth reported in 2024, as land valuation in Bahia state has stabilized. We see SLC trading at a 0.8x P/NAV, and although it should provide a valuation anchor, commodities still lack the fundamentals that could drive positive earnings revisions.

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